

AUDIT INVESTIGATION REPORT

Investigation No. INV-00345 | Type: Expense Audit

Investigation ID:	INV-00345
Investigation Type:	Expense Audit
Status:	ON_HOLD
Trigger Source:	Management referral
Lead Investigator:	Robert Watts (EMP-39575)
Subject Employee:	Michael Phelps (EMP-42249)
Related Vendor:	Delta_Logistics Inc (VND-04524)
Related Transaction:	TXN-C1816845124
Scope Period:	2020-01-15 to 2021-06-11
Created Date:	2025-07-30
Completed Date:	In Progress
Outcome:	UNSUBSTANTIATED

1. AUDIT QUESTION

"Identify all approvals made by terminated employees during the audit period."

2. BACKGROUND

This investigation was initiated following a management referral relating to activity associated with employee Michael Phelps (EMP-42249) and vendor Delta_Logistics Inc (VND-04524). The investigation scope covers the period 2020-01-15 to 2021-06-11 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C1816845124 (amount 8,879.10 USD, risk score 0.03). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-002190	HIGH	POLICY BREACH	Employee submitted Consulting claim 31% above the authorised policy limit without prior exception approval.

5. CONCLUSION

Based on the evidence reviewed, the investigation team was unable to substantiate the original allegation. Records and interviews were consistent with normal business activity.

6. ACTIONS TAKEN

- Matter escalated to the Risk Committee for executive review.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Robert Watts	EMP-39575	2025-07-30